increased to 40 per cent of net bank credit from the current level of 32 per cent with sub-targets of 15 per cent for exports and 15 per cent for the Medium and Small Enterprises (MSE) sector, within which 7 per cent may be earmarked for micro enterprises. The target of domestic scheduled commercial banks for lending to the priority sector to be retained at 40 per cent of net bank credit. The ***Nair Committee,*** (under the Chairmanship of M. V. Nair, Chairman, Union Bank of India), has re-examined the existing classification and suggested revised guidelines with regard to priority sector lending and related issues. Major suggestions by the Committee are as given below:

(i) The committee suggested that the sector ***'agriculture and allied activities'*** may be a composite sector within the priority sector, by doing away with the distinction between *direct* and *indirect* agriculture. However, the targets for agriculture and allied activities would be at 18 per cent.

(ii) A *sub-target for* ***small*** and ***marginal farmers*** within agriculture and allied activities is recommended, equivalent to 9 per cent, which would be achieved in stages by 2015-16.

(iii) The ***MSE*** sector may continue to be under the priority sector. Within the MSE sector, a sub-target for micro enterprises is recommended, equivalent to 7 per cent, which would also be achieved in stages by 2013-14.

(iv) The loans to ***housing*** sector may continue to be under the priority sector. Loans for construction or purchase of one dwelling unit per individual up to Rs.25 lakh; loans up to Rs.2 lakh in rural and semi urban areas and up to Rs.5 lakh in other centres for repair of damaged dwelling units may be granted under the priority sector.

(v) To encourage construction of dwelling units for economically weaker sections and low income groups, housing loans granted to these individuals may be included in the weaker sections category.

(vi) All loans to ***women*** under the priority sector may also be counted under loans to weaker sections.

(vii) The loans to ***education*** sector may continue to be under the priority sector. The limit under the priority sector for loans for studies in